



September 14, 2022

VIA EMAIL (secretary@fmc.gov)

The Honorable Daniel B. Maffei
Chairman
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20573

**Re: Docket No. 22-19, Request for Information
OSRA 2022 – Section 18 (Temporary Emergency Authority)**

Dear Chairman Maffei:

The National Association of Waterfront Employers (“NAWE”) hereby submits its comments to the Federal Maritime Commission’s (“FMC” or the “Commission”) Request for Information (“RFI”) regarding the potential issuance of an emergency order pursuant to Section 18 of the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) (Docket No. 22-19). For the reasons set forth below, NAWE opposes the issuance of an emergency order on a national or regional basis.

Statement of Interest

NAWE is a non-profit trade association whose member companies are privately-owned stevedores, marine terminal operators (“MTOs”), and other U.S. waterfront related employers. NAWE’s member companies engage in business at major U.S. ports on the Atlantic and Pacific coasts, the Gulf of Mexico, the Great Lakes, and Puerto Rico. Accordingly, NAWE’s members operate the critical connection between global commerce and our Nation’s economy and are committed to keeping America’s international trade and commerce flowing. As such, NAWE’s members would be directly impacted by the issuance of an emergency order.

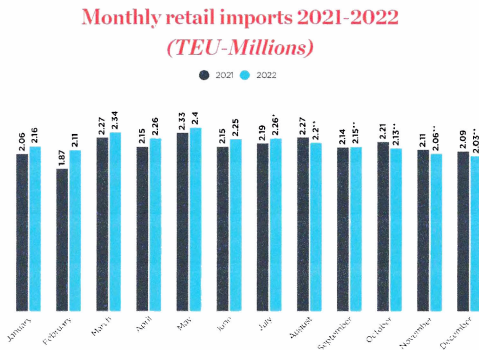
Response to Requests for Information

Request #1: Whether congestion of the carriage of goods has created an emergency situation of a magnitude such that there exists a substantial, adverse effect on the competitiveness and reliability of the international ocean transportation supply system. If

so, please explain why and provide examples or data to support your view. If not, please explain why and provide examples or data to support your view.

Response: The COVID-19 pandemic and associated increases in consumer demand created unprecedented challenges throughout the entire international supply chain. However, the available data demonstrates that we are at the end of this extraordinary period. For example, on August 8, 2022, the National Retail Federation (“NRF”) released its periodic Global Port Tracker. Based on current and projected import volumes at U.S. container ports, the NRF concluded that “imports at the nation’s major container ports are expected to slow significantly for the remainder of the year.” NRF, *Global Port Tracker* (Aug. 8, 2022) (available at: <https://nrf.com/media-center/press-releases/imports-slowng-second-half-year-2022-should-see-gain-over-2021>). Based on such data, NRF Vice President for Supply Chain and Customs Policy Jonathan Gold concluded, “Retail sales are still growing, but the economy is slowing down and that is reflected in cargo imports.” *Id.* In addition, NRF’s international trade consultant Ben Hackett unequivocally stated that “[t]he heady days of growth in imports are quickly receding... [t]he outlook is for a decline in volumes compared with 2021 over the next few months, and the decline is expected to deepen in 2023.” *Id.*

The NRF’s data confirms these conclusions, demonstrating significant year-over-year reductions in cargo volumes throughout the remainder of 2022:



Source: NRF/Hackett Associates Global Port Tracker *Estimated **Forecast

Based on the continued downward trajectory, there simply is no basis for the Commission to conclude that an emergency situation exists to justify the issuance of a temporary emergency order under Section 18 of OSRA 2022. To the contrary, the international ocean and maritime supply chain has demonstrated its resiliency throughout the most challenging times of the COVID-19 pandemic. At various points during the pandemic, vessel crews were forced to remain on vessels far longer than normal due to COVID-related travel restrictions; marine terminals, warehouses, and other cargo handling facilities experienced decreased productivity due to worker illness and/or social distancing and sanitation measures; and rail and motor carriers experienced worker shortages. *See, e.g., Final Report in FMC Fact Finding Investigation No. 29*, p. 41, n. 65. Notwithstanding these challenges, the supply chain was still able to move record volumes of cargo to meet unprecedented consumer demand. Indeed, NAWE's members and their workforces were a critical lynchpin in this success, never ceasing operations during the COVID-19 pandemic.

This reality has been acknowledged by the FMC Commissioners. For example, the FMC Chairman said:

America's ports are NOT broken or, by any historical measure, inefficient. In fact, the ports are processing even more cargo than ever before. Coast to coast, almost every major port is breaking records. In Los Angeles alone, 2021 smashed its previous record for most containers handled by 13%. That translates into 1.5 million more containers than the biggest pre-COVID year and that does not include the neighboring port of Long Beach which has registered similar numbers meaning our largest port complex has processed close to three million containers MORE than ever before.

Thanks to our port authorities, terminal operators, and waterfront labor including the ILWU and ILA, America processed more cargo through its ports in 2021 than ever before in the nation's history and they did this despite the lack of many needed infrastructure improvements and during a global pandemic. That doesn't sound broken to me.

Remarks of Daniel B. Maffei, Chairman, Federal Maritime Commission To American Association of Port Authorities (March 30, 2022). The FMC Chairman made a similar statement when testifying before Congress:

In fact, it would be wrong not to acknowledge the fact that it has been truly remarkable how productive our ports have been. From Southern California to the New York/New Jersey port complex; from Seattle to Savannah, Gulfport to Norfolk, Oakland to Miami, and so many more, America's ports have handled safely and efficiently millions more containers of cargo than ever before in U.S. history. The record numbers of throughput are a tribute to the companies and

workers that have never stopped and instead have intensified their efforts, even in the worst days of COVID.

Statement of Daniel B. Maffei, Chairman, Federal Maritime Commission, Before the U.S. Senate Committee on Commerce, Science, and Transportation (March 3, 2022).

Accordingly, based upon the data demonstrating the downward trend of container volumes at U.S. ports, and the effectiveness of the ocean transportation supply chain to overcome prior challenges of the COVID-19 pandemic that have now abated, it is clear that a congestion-based “emergency situation” does not exist.

Request #2: Whether an emergency order pursuant to Section 18 of OSRA 2022 would alleviate or improve such an emergency situation – and if so, why, and if not, why not.

Response: While NAWF believes that no emergency situation exists, even assuming arguendo that such situation did exist, NAWF does not believe that the issuance of an emergency order could or would alleviate or improve the situation. As a preliminary matter, should the Commission unanimously determine that an emergency situation exists, and subsequently issue an emergency order, under Section 18 such order could require common carriers and MTOs to share “information relating to cargo throughput and availability” with relevant shippers, rail carriers, or motor carriers. Notably, the sharing of such information would be with the stated statutory goal of “ensur[ing] the efficient transportation, loading, and unloading of cargo to or from— (1) any inland destination or point of origin; (2) any vessel; or (3) any point on a wharf or terminal.” However, the RFI lacks any definition to allow a determination that sharing of any information would achieve such statutory goal. For example, among numerous other aspects, it is completely unknown to the public:

- What information would be required to be shared;
- What constitutes a “relevant” shipper, rail carrier, or motor carrier;
- The format in which such information would be required to be shared;
- The timing in which such information must be shared;
- The handling of business sensitive commercial information in the sharing of such information; and
- The intended security measures in the sharing of such information.

Without such definitions, it is simply impossible for the Commission to conclude that the issuance of an emergency order would alleviate or improve an emergency situation (or, more importantly under the statutory mandate – ensure the efficient transportation, loading, and unloading of cargo to or from— (1) any inland destination or point of origin; (2) any vessel; or (3) any point on a wharf or terminal).

In addition, any such FMC-mandated data exchange would create unnecessary redundancy and confusion among transportation stakeholders with regard to the Administration's data collection initiatives. Most notably, the White House-endorsed Freight Logistics Optimization Works ("FLOW") program, administered by the U.S. Department of Transportation ("USDOT"), already seeks to establish a "first-of-its-kind initiative to share information and help move goods more quickly and cheaply." Remarks of Pete Buttigieg, U.S. Secretary of Transportation to FLOW participants (Aug. 10, 2022). As explained by USDOT, FLOW "is a first-of-its-kind effort by the Biden-Harris Administration and supply chain companies to develop a digital tool that gives companies information on the condition of a node or region in the supply chain so that goods can be moved more quickly and cheaply, ultimately bringing down costs for families." USDOT, *Supply Chain Companies Collaborate to Speed Up Movement of Goods, Cut Costs for Consumers* (Aug. 10, 2022) (available at: <https://www.transportation.gov/briefing-room/dot-supply-chain-companies-collaborate-speed-movement-goods-cut-costs-consumers>). The platform has already developed appropriate security protocols for the sharing of such data and "existing partners having begun securely sharing data with USDOT." *Id.* The FLOW program – in which a growing number of NAWA members are participating – has the advantage of including stakeholders across all modes of transportation, in addition to being endorsed by stakeholders on all sides of the supply chain. *See id.* (statements of support from shippers, motor carriers, common carriers, MTOs, and port authorities). Adding an additional data exchange, with only a limited focus on the ocean carriers and MTO aspect of the supply chain, is therefore unnecessary and creates diverging messages from the Executive Branch.

These redundant programs would also create potential implementation challenges for the FMC's data exchange under the Paperwork Reduction Act ("PRA"), 44 U.S.C. §§ 3501 *et seq.* Notably, the PRA applies equally to agency-mandated exchanges of information between third parties. *See* 44 U.S.C. § 3502(3) (defining "collection of information" to mean "the obtaining, causing to be obtained, soliciting, or requiring the disclosure to third parties or the public, of facts or opinions by or for an agency, regardless of form or format.").¹ Notably, there is nothing in Section 18, or OSRA 2022 generally, that would exempt this mandated information exchange from the PRA's requirements. In addition, the PRA's emergency/expedited clearance process is a "rare type of approval" and "a collection is only eligible for this type of approval if the standard PRA approval process would cause: (a) likely public harm (such as the delivery of resources after a natural disaster); (b) missing a court-ordered or statutory deadline."² General Services Administration, *Types of PRA Clearance* (<https://pra.digital.gov/clearance-types/>).

¹ *See also* 44 U.S.C. § 3502(5) expressly including the FMC in the list of independent regulatory agencies subject to the PRA's requirements.

² We note that Section 18 of OSRA 2022 does not mandate a timeline for the issuance of an emergency order, only requiring that the FMC issue an RFI within sixty (60) day of enactment, which mandate the FMC has fulfilled by this issuance of this RFI.

Therefore, on the reasonable assumption that the Commission would require information from ten (10) or more persons, it appears that PRA would apply to any information exchange under an emergency order.

The application of the PRA creates several challenges. First, before approving any information collection, the Office of Management and Budget (“OMB”) must make a determination of the necessity of the collection. 44 U.S.C. § 3508. To reach such determination, OMB must find, in relevant part, that the information has “practical utility” defined to mean “the ability of an agency to use information, particularly the capability to process such information in a timely and useful fashion.” 44 U.S.C. § 3502(11). In this instance, the basis of such finding is not particularly clear. Because the RFI lacks any guidance as to the information that the FMC may require to be exchanged, it is unclear how long it would take ocean carriers and MTOs to access, aggregate, and provide such information. Moreover, it is unclear that the affected carriers and MTOs have the appropriate technology in place to provide such information in a timely fashion. Accordingly, by the time the information is made available, the circumstances underlying the Commission’s emergency order may have subsided, particularly given the downward trend in cargo volumes that will continue through Q4 2022 and 2023, according to NRF.³

In addition, to obtain OMB approval, the FMC is required to make a series of certifications, including that the information collection “is not unnecessarily duplicative of information otherwise reasonably accessible to the agency” and “reduces to the extent practicable and appropriate the burden on persons who shall provide information to or for the agency.” 44 U.S.C. §§ 3506(c)(3)(B)-(C). In NAWA’s view, it would be challenging, if not impossible, for the FMC to make these requisite certifications. The data exchange would be unnecessarily duplicative to the USDOT’s FLOW program and would increase the burden on common carriers and MTOs that are participating in FLOW program, subjecting such parties to redundant and potentially inconsistent information collection requirements.

Moreover, beyond USDOT’s FLOW program, MTOs already provide copious amounts of information to beneficial cargo owners (“BCOs”) and motor carriers, far exceeding the information made available by other participants in the U.S. supply chain. It is typical for NAWA’s members to provide BCOs and motor carriers with the following information through their application programming interfaces and websites:

- Container number
- Availability Status
- Hold Information such as:
 - Demurrage Due

³ The PRA itself would further diminish the effectiveness of an emergency order, requiring both a 60-day and 30-day public notice in the *Federal Register* prior to establishing the information collection.

- Demurrage Amount
- CBP status
- Inspection Fees Due
- Ocean carrier holds/Freight Due
- CTF Hold
- TMF Hold
- Unload date
- Last Free Day
- Appointment system information and detail
- Yard spot/location
- Discharge Time
- Position – Wheeled or Grounded
- Container size/type
- Vessel/voyage
- Vessel discharge
- In Gate
- Out Gate
- Gate Schedules
- Booking number
- Booking Inquiry
 - Quantity
 - Dispatched
 - Received
 - Loaded
- Vessel cut offs
- Chassis inventory
- Empty Receiving Details
- Export First Receiving Information
- Gate Schedules
- Hazardous detail
- Seal no.
- Trucker SCAC

In addition, MTO websites often provide the following information:

- Chassis status (Low/Sufficient/etc.)
- Gate Hours/Schedule
- Import Appointment Capacity
- Booked Appointments
- Appointment fulfillment
- Terminal Map
- Terminal Rules and Procedures
- Turn times
- Vessel Schedules

- Vessel ETA
- Vessel ATA
- Vessel ETD

Accordingly, given the plethora of information already shared by the MTOs with BCOs and motor carriers, it is unclear how the FMC could certify under 44 U.S.C. §§ 3506(c)(3)(B) that an emergency order's information sharing mandate "is not unnecessarily duplicative of information otherwise reasonably accessible" to the FMC and intended information recipients. More importantly, even if the Commission were able to reach the conclusion that an emergency exists, it is apparent that the redundant sharing of available information would not alleviate or improve such situation, and would not ensure the efficient transportation, loading, and unloading of cargo. Because the FMC cannot meet these statutory predicates, NAWA opposes the issuance of an emergency order.

Request #3: The appropriate scope (duration and geographic) of such an emergency order, if the Commission were to issue such an order and the basis for that scope.

Response: As detailed above, NAWA opposes the issuance of an emergency order. However, to the extent that the Commission were to issue an emergency order, NAWA notes that under Section 18 of OSRA 2022 the order must be narrowly tailored, "with respect to temporal and geographic scope, taking into consideration the likely burdens on common carriers and marine terminal operators and the likely benefits on congestion." Given the overall cargo trends discussed in response to Request #1, there clearly is no basis for a nationwide emergency order. To the extent that the Commission seeks a more narrowly tailored regional order, NAWA would strongly encourage the Commission to engage with MTOs, ocean carriers, labor organizations, shippers, and motor carriers (among other stakeholders) operating in such region to determine what – if any – information sharing could achieve the statutory goal of reducing supply chain congestion.

Moreover, prior to issuing any emergency order, NAWA strongly encourages the FMC to engage in interagency discussion of the associated information sharing, to include USDOT, U.S. Coast Guard, Customs and Border Protection, U.S. Transportation Command, and the State Department. The sharing of information regarding instrumentalities of commerce and MTO operations could create security risks that must be fully considered and mitigated. Moreover, imposing mandatory information sharing with regard to foreign-flag vessels calling the United States could result in retaliatory action by other port states, including mandating information sharing by U.S.-flag vessel operators carrying Department of Defense cargoes to foreign ports. In addition, the requested data is likely to contain proprietary business information, with substantial value to the data owners, which may be diminished if shared with competitors. A cautioned, pragmatic approach with consideration of the security risks, and international and economic ramifications is therefore warranted.

* * *

For the reasons set forth above, NAWE opposes the issuance of an emergency order and believes that through the issuance of this RFI, the Commission has fulfilled its statutory mandate under Section 18 of OSRA 2022.

Sincerely,

A handwritten signature in blue ink, appearing to be 'RW Murray', with a large circular flourish at the end.

Robert W. Murray
President